MECA

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NEWSLETTER

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MONTHLY ROUNDUP

Employer's Insight

This month, Industrial Relations conversations are increasingly shaped by one consistent theme – **collective voice.**

Across sectors, we are observing a common thread: workplace decisions that might previously have remained internal management matters are now more likely to be questioned, escalated, or collectively organised around. Employees are sharper than ever in understanding their rights, and unions (both established and newly formed) are unwavering in their representation efforts. Employers are facing a more empowered workforce.

Locally, recent amendments to labour legislation have expanded union recognition pathways and strengthened employee protections. At the same time, digital platforms are accelerating how workplace concerns are shared, amplified, and organised. What may once have remained an internal grievance can now evolve quickly into a collective issue.

What we are consistently observing is this: Risk rarely begins at the point of union-involvement. It often begins much earlier, at the point where employees feel unheard, uncertain, or inconsistently treated.

In the current climate, Industrial Relations exposure is rarely about whether management has the right to act. It is about whether the organisation has managed expectations progressively, communicated transparently, and documented consistently in anticipation of scrutiny whether from a union, the Industrial Relations Department, or the Industrial Court.

Employers who approach people decisions with narrative clarity, alignment between words and records, and deliberate expectation-setting are significantly better positioned to manage outcomes calmly, confidently, and defensibly.

What Employers Are Getting Wrong (This Month)

In recent advisory engagements, we are observing three recurring risk patterns:

1 **Treating unionisation as a remote possibility rather than an active risk factor**

Some employers continue to assume that union presence is limited to traditionally unionised sectors. However, both locally and globally, union organising efforts are expanding into professional, technical, and service industries. Where communication gaps or perceived unfairness exist, these environments become fertile ground for collective mobilisation.



2 **Over-reliance on procedural correctness**

Policies are being followed. Show-cause letters are issued. Domestic inquiries are conducted. Yet procedural compliance alone is no longer sufficient insulation against the crystallisation of dispute. Employees (and increasingly, union representatives) are interrogating the consistency, proportionality, and fairness narrative behind decisions.



3 **Delayed expectation-setting**

Performance management discussions are framed as informal coaching, only to later escalate into warnings or separation conversations. Role changes are positioned as operational adjustments without clearly communicating potential long-term implications. When outcomes eventually materialise, employees feel blindsided and that perception frequently drives escalation.

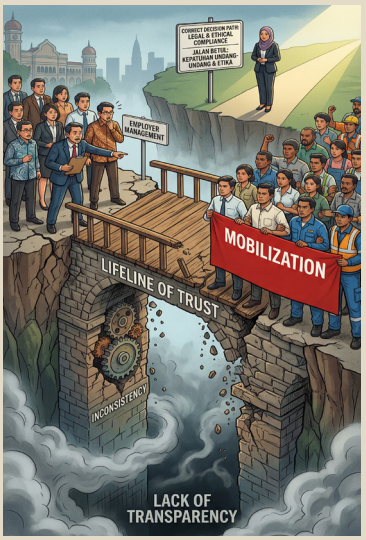


TRUST : THE LIFELINE OF EMPLOYER-*EMPLOYEE* RELATIONSHIPS

Every employer-employee relationship is built on one fundamental principle: trust. It is the lifeline of engagement, performance, and collaboration. Once trust erodes, even small missteps can tornado with grievances multiplying, disputes arising, and the floodgates opening to union involvement or collective action.

Recent trends, both locally and globally, highlight that trust is under pressure:

- Perceived inconsistencies in policy application or decision-making;
- Lack of transparency in communication about performance, role changes, or corrective actions;
- Delayed expectation-setting, leaving employees uncertain about potential outcomes;
- Rising union activity, with employees increasingly aware of their rights and willing to mobilise when trust is weak.



To safeguard relationships and reduce Industrial Relations risk, employers should focus on trust-conscious practices:

- Communicate clearly and consistently. Even difficult decisions should be framed transparently;
- Document fairly and accurately. Records should reflect genuine engagement, not just procedural compliance;
- Set expectations early and deliberately. Avoid surprises that can trigger defensiveness;
- Engage proactively with employee concerns. Perceived neglect accelerates trust erosion.

In today's workplace, outcomes are rarely judged in isolation. They are assessed in the context of the story that led there. ***Once trust rusts, containment is nearly impossible.*** Protecting trust isn't just good practice. It is the most effective defence against escalation, disputes, and unionisation risks.

UPCOMING MECA EVENTS

Tue 03 March 2026



MECA IR Series Webinar

LIFO in Retrenchment: When Can Employers Deviate?

Wed 11 March 2026



MECA March Roundtable Session

Breaking the Stigma: Managing HIV-Related Discrimination and Other Forms of Discrimination in the Workplace

Wed 15 April 2026



MECA Mini Convention

Union Representation Is Set to Increase: Trust, Unions, and the New Employer Playbook

MEET YOUR MECA CONSULTANT



Pritika Menon
Consultant
MECA



Q What is one workplace issue you see employers struggle with more often than they realise?

One thing employers struggle with more than they realise? Misalignment from the top down. When senior leadership and middle management aren't on the same page, it's like a machine with rusty cogs. HR pulls one way, management another, and employees at the bottom get whiplash. Align the top, sync the middle, and suddenly the whole workforce starts turning smoothly. Think of it as basic office mechanics. A little oil goes a long way!

Q At what point do you usually wish employers had reached out to MECA?

Honestly? Before the dumpster catches fire. Because once it's smoking, it's already a full-blown crisis. For all you Liverpool fans, you get the reference: with MECA, you'll never walk alone. We're your IR captain from day one, ready to spot bumps, give guidance, and help steer you through choppy waters. And if a hiccup pops up along the way, we jump in faster than a VAR review keeping things calm, controlled, and far from a full-blown flare-up.

Q If you could give employers one practical piece of preventive advice, what would it be?

Never underestimate the gift of the gab. Communication is everything. Beyond the technicalities of IR & HR, it's the softer skills that often make or break an outcome. After all, you're dealing with human beings. Each with their own melange of emotions, quirks, and yes, different 'fonts.' Using transparent, wellthought-out communication from the start can turn a tricky situation into a smooth one. Don't ever forget the human in human resource!



From SME to GLC

Why HR Compliance Looks Different at Every Stage ?

HR compliance is often misunderstood as a purely technical exercise: drafting contracts correctly, paying wages on time, and meeting statutory requirements. In reality, compliance looks – and feels – very different depending on whether you are running a small and medium-sized enterprise (SME), scaling up as a mid-sized company, or operating as a government-linked corporation (GLC). The journey from SME to GLC is not merely about size. It is about maturity. How compliance shifts from tactical firefighting to structured processes, and ultimately, to a strategic pillar of governance and culture.

The SME Reality :

For SME, HR compliance is often about survival. Owners and managers juggle multiple roles, with HR rarely having a dedicated department. Compliance typically revolves around core statutory obligations - adhering to the Employment Act, ensuring EPF and SOCSO contributions are made, and observing minimum wage requirements.

Documentation is basic, often handled through spreadsheets or manual processes. The risk here is not a lack of intent but a lack of resources. A single oversight, such as failing to issue proper contracts or maintain leave records, can expose SME to costly disputes. For SME, the priority is practicality: how to remain compliant with limited manpower and systems, while still focusing on growth.



Mid-Sized Companies: Formalisation and Policy Building

As organisations grow, compliance moves from being task-driven to process-driven. Mid sized companies typically establish a formal HR team and begin to develop internal policies that go beyond statutory minimums. For example, employee handbooks, codes of conduct, and structured performance management systems become the norm.



This is the stage where companies begin facing external audits from investors, partners, or clients. Compliance evolves from being merely a legal obligation into a reputational requirement. Companies may also start exploring technology solutions - HRIS systems, digital leave management, and payroll automation - to reduce compliance risks. At this point, HR professionals must balance two roles: keeping the company legally compliant while shaping policies that attract and retain talent.

Large Corporations and GLCs: Strategic and Governance-Driven

At the level of large corporations and GLCs, HR compliance is inseparable from corporate governance. Compliance frameworks are not only aligned with labour laws but also with environmental, social, and governance (ESG) reporting, Bursa Malaysia listing requirements, and international standards such as ISO.



Here, compliance is as much about culture as it is about control. Organisations must demonstrate fairness, transparency, and inclusivity in managing people. Issues such as workplace diversity, whistleblowing mechanisms, and anti-discrimination policies are embedded into the compliance agenda. GLCs, in particular, face higher public scrutiny, meaning any lapse can quickly escalate into grave reputational damage.

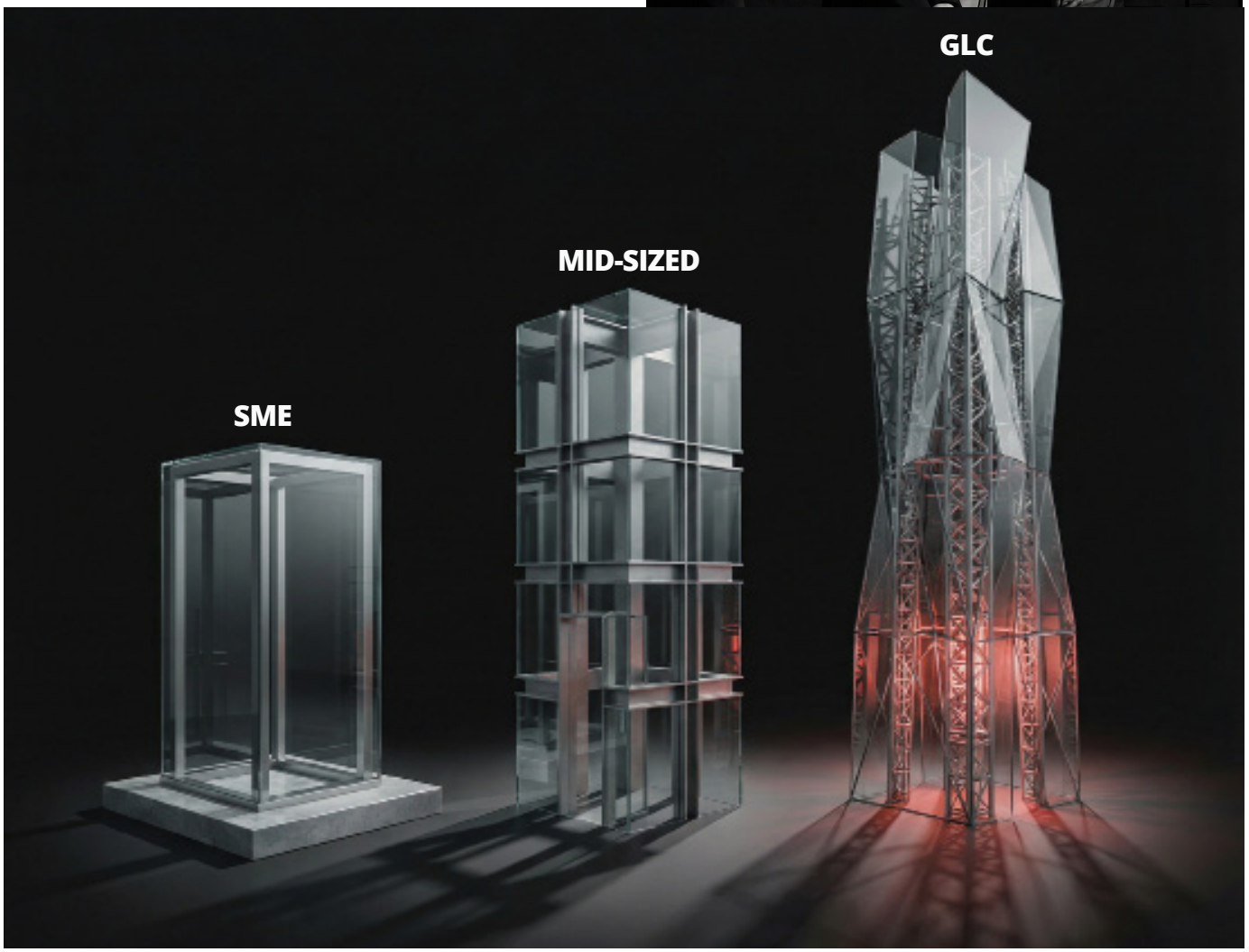
At this level, HR compliance is no longer just about avoiding penalties; it is about sustaining stakeholder confidence and supporting the organisation's long-term strategy.

A JOURNEY OF MATURITY



The journey from SME to GLC shows that HR compliance is not static. What begins as a checklist of legal obligations eventually matures into a governance and culture framework that shapes the identity of the organisation. For SMEs, the focus should be on building strong foundations. For mid-sized companies, the priority is embedding structure and scalability. For GLCs and large corporations, compliance must be strategic, integrated, and value driven.

In short, HR compliance is not one-size-fits-all. It grows with the organisation – and the most successful companies are those that treat compliance not as a burden, but as a competitive advantage.



MECA MINI CONVENTION



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UNION REPRESENTATION IS SET TO INCREASE

Trust, Unions, and the New Employer Playbook

15/04/2026

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CASE SPOTLIGHT

Hyffny Bin Yusof v AirAsia Berhad

Award No: 1676 of 2025 (Industrial Court)

This case arose from the dismissal of a Cabin Crew member following social media postings made on his personal Facebook and Instagram accounts. The employee was suspended and issued a Notice to Explain on 6 January 2023 concerning two postings dated 29 December 2022, where he expressed frustration over a prolonged flight delay and referred to certain executives as "idiots". The Company alleged that the postings contravened its Disciplinary Policy, Code of Conduct and Ethics, and Cabin Crew Policy Manual relating to social media usage

In his reply, the employee admitted making the postings but maintained that they were made privately, outside working hours, and visible only to his circle of friends. He denied any intention to disrepute the Company and asserted that the delay and circumstances described were factually true. The Company found his explanation unsatisfactory and dismissed him on 2 February 2023 for serious misconduct arising from misuse of social media. The employee brought a claim under section 20 of the Industrial Relations Act 1967 alleging dismissal without just cause or excuse.

The Industrial Court held that while the employee had indeed made the postings, the Company failed to prove that they constituted misconduct of sufficient gravity to justify dismissal.

The Court found that:

- The postings were made in a restricted personal social media account and were not proven to be publicly disseminated.
- The factual basis of the complaint, namely the flight delay and late provision of meals, was not disputed.
- There was no evidence of reputational harm to the Company.
- The language used, though intemperate and inappropriate, amounted to a private emotional outburst rather than wilful insubordination.

The Court emphasised that employer social media policies must be applied purposively and proportionately. Private expressions of frustration, absent proof of malice, confidentiality breach, or actual damage, cannot automatically amount to gross misconduct.

Applying the doctrine of proportionality, the Court held that dismissal was excessive and disproportionate in the circumstances. The employee's conduct amounted to contributory misconduct, but not a dismissible offence.



Accordingly, the dismissal was found to be without just cause or excuse. The Court awarded:

- Backwages capped at 24 months (subject to 10% deduction for post-dismissal earnings)
- Compensation in lieu of reinstatement based on five completed years of service
- A further 20% reduction for contributory misconduct

The final award totalled RM 31,920.00 plus interest.

FEBRUARY EVENT RECAP









February Roundtable : 11-02-2026 @ Connexion (Nexus)

When Management Actions Become Exit Triggers: Navigating Constructive Dismissal Risks

February's Roundtable examined one of the most complex and high-risk areas of employment litigation - constructive dismissal. The discussion centred on a critical reality: many claims do not arise from a single dramatic decision, but from a series of management actions which, taken cumulatively, may be interpreted as going to the root of the employment relationship.

Members explored:

- **What legally constitutes constructive dismissal under Malaysian law**
- **How the Industrial Court assesses breaches of fundamental terms**
- **The role of intention, reasonableness, and employer conduct**
- **The "last straw" doctrine and delay in resignation**
- **The evidentiary weight of internal emails, WhatsApp messages, and contemporaneous documentation**







A recurring theme throughout the session was this:

Well-intended business decisions can still create legal exposure if poorly structured, communicated, or documented.

Changes to reporting lines, performance management approaches, restructuring exercises, remuneration adjustments, or responses to grievances may be operationally justified - yet still carry risk if not handled with procedural care.

The Roundtable reinforced the importance of:

- **Clear documentation**
- **Measured communication**
- **Early intervention**
- **Consistency in management approach**

As always, the strength of the session lay in the candid discussion among Members, drawing from real workplace scenarios and Industrial Court reasoning rather than purely theoretical analysis.

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